

The Social Radars

S2: Brian Chesky, Co-Founder & CEO of Airbnb

Released Sept 13, 2023

Jessica : I am Jessica Livingston and Carolynn Levy and I are The Social Radars. In this podcast, we talked to some of the most successful founders in Silicon Valley about how they did it. Carolynn and I have been working together to help thousands of startups at Y Combinator for almost 20 years come be a fly on the wall as we talk to founders and learn their true stories. So we are here, Carolynn, with Brian Chesky for part two of Airbnb. Yay. Welcome Brian. I'm so excited. Hi Brian.

Brian: Thank you for having me back. Just I had too much fun. Had to come back.

Jessica : I know there were so many questions we had and we just didn't get through everything, so that's why we wanted to get back and pick up where we left off. So what I just want to do for the listeners is to just quickly summarize the situation where we left off. So in 2007, you and Joe hosted three people at your apartment in San Francisco for a design conference going on. You knew you were onto something because both you as the host and the guests had this sort of magical, unique experience. So you knew there was something there. You start the idea for AirBed and Breakfast and you struggle for a year to sort of get the marketplace going. Can't find many guests to rent, and you try to raise money and you get tons of nos and you're really kind of bouncing along, I guess the y axis of growth, not making much progress in terms of consistent growth.

As a last ditch effort, you decide to apply to YC in the fall of 2008. You get Nate, the technical co-founder, to agree to participate in YC and move to the Bay Area from Boston for three months. And you say, okay, if this doesn't work, we're officially done. So you start YC, you talk to Paul Graham, he says, where's your growth? Is anyone buying this? You're having a problem with people staying. And you say, well, we can tell from search results that people are searching in New York City. We have some hosts posting in New York City, but it's just not sticking. And you decide. He says, well then get to New York City and you go meet with hosts there. I think. Could we kind of pick up there and talk about how you got airborne?

Brian: Yeah, absolutely. So I remember we're in Mountain View and PG has these office hours and you'll recall that we were pretty shameless. This is the other thing, we were shameless. We were always trying to be the first people at every dinner and we'd always try to be the last people to leave, which is possibly annoying and maybe that's not the advice people want to hear, but because maybe everyone will do it. But we were just like, this is our one last shot. It was like that eight mile movie. This is our last shot, so we got to do this and so we're going to get the most out of this experience and we'll hang out with PG and just get his advice.

Jessica : That was the most impressive thing about you guys. We still say to this day, the Airbnbs were the first group to every dinner and the last to leave. We found it impressive.

Brian: Before I go into that story, can I just do a quick detour? It made me think of a concept. I think it's really important for founders, I'll be honest, before YC, we were kind of a sloppy, chaotic company. Like everyone, we were just kind of like, we get up, we do work. There was really no rhythm. We worked all the time, but we weren't really that organized. And because Nate was living in Boston with his fiancée and it was a big ass to have him come to San Francisco, because imagine you get engaged and you tell your fiancée you're not going to see him for three months. And by the way, there's revisionist history. Well, of course you're going to start Airbnb. No, you're going to start a company that is probably not going to exist in three months. So that's the context because you can't assume it's going to be Airbnb.

And so it was a big ask. And so we wanted to first of all make the most of the experience and we also, when we started, we said that we would have a conversation at the end of YC about if we should keep working on the concept because it wasn't clear it was going to take off. And so we said, well, we're going to give us our best shot. So we basically created an agreement that we would have a consistent schedule. So we all lived together at the apartment. We had a schedule where we'd basically all wake up around 8:00 A.M., we'd work, we'd go to the gym together to exercise so we'd not get super unhealthy. We'd go grocery shopping together, we would stay up working until midnight every Sunday. We would meet and recap everything we did last week and everything we do. The following week we took Paul Graham to say that we got to be Ramen profitable.

And I'm like, what does that mean? He goes, you're profitable if you live on ramen. We've lived on the equivalent of ramen. I didn't really like ramen, but something like that. And we took a revenue graph, like an imaginary graph, and we put a red line at the threshold of ramen profitability, which is the minimum level of subsistence we could do to keep the company going where we were basically at default alive and we didn't need funding. And we put that on the bathroom mirror so that when we brushed our teeth, it would be the first thing we'd look at in the morning and it would be the last thing we looked at before we went to bed. And then the other thing you said is we're going to be the first at every dinner and the last at every dinner. And the reason I tell you that story is, I think that that discipline is now to some extent permeated thousands of people, that the habits you have when you're three people, subtle habits, what time do you get up? What time do you go to bed? Do you do these things together? Do you communicate extremely subtle habits that have become the habitual habits of thousands of people? And when a thousand people do something a thousand times, that's your culture. So I just think that was an interesting aside. Can

Jessica : I make an aside on your side though, Brian? Sure. I have numbers. I know that in the first week of February you hit \$468 in revenue. The next week it was 897 and the third week of February, 2009, it was \$1,428. And at that point you were ramen profitable. And just to define it, that was Paul's phrase for basically you're making enough money that you can at least pay your rent and eat cheaply, e.g., the ramen and you can keep working on your startup. So exactly. Just so you know,

Brian: Those were the numbers by the way. It was if I was a founder today, I would need definitely more than \$1,400 a week

For three of us to live. Isn't that crazy? Yeah, that was 2009. It gives you a sense of how much things have changed in 14 years. So yeah, PG says, your users are in New York, you're here in Mountain View. What are you still doing here? Go to New York, go to your users. Now, this was counterintuitive to us and the reason why is because we said, well, that doesn't scale. We can't go to meet every user. And I remember PG saying, that's exactly why you should do it now because this is the only time you'll be able to do things that don't scale as one more aside. Now suddenly realizing all these, I know I'm barely getting the story. Every entrepreneur desires to have growth and to have scale and grow as fast as possible, and that's awesome. Obviously if you don't grow, you die. The problem is, I like to tell entrepreneurs, you should be grateful before you have any traction because before you have traction is the moment you can change your product the most. And once you're in hypergrowth, you stop creating new features and you're mostly just trying to keep up with growth. And that part's exhilarating and awesome and like, wow, we have an idea that works. But the most you can ever change your product is before you have traction. Because once you have traction, you spend 90% of your time just growing and trying to keep things from breaking.

Jessica : That's an excellent point,

Brian: And I think people should just remember that if you don't have traction, what you have is nimbleness and boldness and you can try lots of things and that everyone thinks they can do bigger things later. I like to tell people the day you start is the day you can do the most. And every time you hire more people, you can do less. It's counterintuitive when you open an app, like a mature app that's been around and it's really popular. Has it changed much in the last year? Probably not. During YC, the app changes completely because it's just a very light code base. And so this is the thing. So anyways, we go to New York, we start literally, and I used to joke that when you bought an iPhone, Steve Jobs didn't come and sleep on your couch, but I did. And we went door to door meeting our host.

I remember knocking on their door and they'd be like, hello? And I'd be like, yeah, I'm with Airbnb. They're like, oh my God, you're a really small company. Before we were online, we used to pay people either by PayPal, a host, or they could get a check in the mail. I would carry a bank ledger in my backpack, like a binder with checks, and every day I'd get an alert of who I should write checks to. This is before we automated online banking. And so I would be at the host and sometimes the host would be like, how do I get paid? And I would take a binder out of my backpack. So my backpack, I used to walk around New York City with a toothbrush, underwear, socks, like a change of clothes and a giant binder. Half my backpack was a binder and pens to write checks to and letters like letterhead, envelopes.

The point is though, that you do everything unscalable before you scale it. So in order you'd ask, well, why didn't you set up online banking? Well, when you're writing five checks a day, it's actually easier to just write the checks and at some point it's unscalable. So then you set up online, a c h through your personal checking account,

then that gets to a threshold where now you need to create a corporate account. And now you can't do that manually. So now you got to write code to actually wire your ACH into your platform. So everything was very hands on, very non-technical. And we only usually use software, typically to automate things. I mean, some businesses like a camera company, like you need software even to prototype our business. It's an offline business, so we would use software to scale things. Once we validated it by hand, we called it doing things that are handcrafted.

So we would meet with hosts and as we meet with hosts, we noticed things. One of the things I'd notice is the photos online were horrible. In 2009, camera phones were horrible. So you would never want to post a photo taken from a phone in 2009, but most hosts did not know how to use a DSLR and connect it with USB to their laptop, process the photos and orient them and then color correct them and put 'em up on Airbnb. People just didn't really know to do that. So we thought, what if there was this magical service where you could press a button and a photographer magically showed up and photographed your home? And they said, oh my God, that'd be amazing. So we sent them his email, click this button and a photographer will show up and they would click the button and then I would show up or Joe would show up and we'd show up with rented cameras.

And then eventually we hired contractors to take photos for us. And these subtle things became all the difference. Then we started noticing, wait, if we have really big photos, we can make the photos really large on the product description page. Now again, today we take all this for granted. Back in 2009, there were no large photos of homes on the internet. They didn't exist. Craigslist was the predominant format. It was a two by two tile, and the photos were two inches by two inches and they were horrible and they looked like they were out of a horror film. And so we were also the first site, to my knowledge that I'm aware of, where you could book something with somebody else and pay them online through the app. Because before us, there was Etsy, there was eBay, there was Alibaba, Etsy and eBay used PayPal, eBay owned PayPal, but it wasn't integrated in checkout. You had to go to PayPal, sign up. So it was like, this is crazy. And so throughout this process, we would often suspend disbelief and we'd imagine, what's this magical thing? We would never start? Steve Jobs used to have a saying, you've got to start with the customer experience and work backwards to the technology. You can't start with the technology and work forwards to the customer experience. And so, which a

Jessica : Lot of founders do,

Brian: Lot of they're, well, what can we do with this technology? What are our limitations? And that's where a lot of innovation comes from, is you have a vision of something that reaches just above the horizon of what's possible technology. And that's the art. The art is reaching for what's the cusp of impossible, but just in the grasp of possible. And that is what we would probably call innovation. It's magical and it just reaches. And if it's too far, it's impossible and you can't do it. And if it's too obvious and it's too incremental, then no one cares and you're probably not added any value.

Jessica : Would you take photos of the host too? You'd take photos of their apartments to make them attractive,

Brian: And we would often take photos of the host as well. And actually Jessica, Carolyn, I believe we also built one of the first on-demand platforms before Uber. I think Uber started in 2010, and this was a year before. It was basically in 2009. There were no on-demand services, there was no hit a button, the app and someone shows up to your house. Now we take that for granted, but back in just nine, that was another thing that would seem crazy. You're going to hit a button, someone's going to show up to your house, how's that going to happen? And so we built a network even back then of thousands of photographers, but we had interns that were managing people in Google spreadsheets. And eventually now we have an automated system where we literally take hundreds of thousands, I believe photos a year for people. And it's like a pretty robust on-demand operation.

But these were some of the things, and I would literally, I remember Joe told this famous story of meeting with a host. He had a binder worth of notes, and we would basically take the user feedback and we'd incorporate it. And I actually, we do this today. This is a practice we still do today. Our simple idea is I think a lot of founders focus on growth and growth is the output that everyone wants, and you're ultimately measured by your growth. But customers generally don't like things because other people like it. I mean, there's a little bit of that herd mentality, but mostly they like it because it's really great. It's a great product. You have a mantra in YC, which is "make something people want". Well, how do you know what they want? You have to talk to 'em. You have to observe what they're doing, and you have to obsess over every single detail.

And so that's what we've tried to do. It's a systemized feedback. What ended up happening is we would basically photograph their homes. We would give them guidance on their price, and we just work city by city or block by block, home by home, just getting enough homes on Airbnb. And then we didn't have a marketing budget, so we just used PR to get traction. We do lots of stunts, constantly doing crazy things in the press. We have to always remember that reporters have their job, it's hard because they have to find out something to write about every single day. And so if you can make their job easy by giving something to write about, they are predisposed to want to talk about you. They have to do something right. Every day you have to wake up and report on something that's new, as long as it's worth remarking about, they'll write about it.

And then we also built this tool where you could repost your listing on Craigslist. Nate hacked this thing together, was really great where you could take your listing and you could post it onto Craigslist. And so then people would see these beautiful basically Airbnb list widgets inside of Craigslist you could click and it would basically take you to Airbnb. So we had a lot of differences, that was really, I think, clever. Yeah, really smart distribution. I never knew that that was something Nate built. It was pretty clever. So we did a lot of different things like that, but I don't think there was a silver bullet. I usually tell people that there's usually not a silver bullet that's usually poking a rock up a hill. I think there's this revisionist history where people assume, and this is true of some apps, but there's generally this assumption that things just take off.

And I mean, I guess there are some things like chat G B T that take off if it's a truly magical technology, but mostly when you're building an M V P, it's kind of a little bit rough and it's not going to take off right away because you just shipped it and you don't even really know what people want. And you have to use the process of shipping and iterating and discovering and continuing to add enough features and eventually it's a tipping point. And we used to say, people have to travel, they want to travel, they have to sleep somewhere. Eventually this is going to be so compelling that there's going to be a tipping point and people are going to want to do it. And sure enough, they did. And you're right. One week we did what? \$400 in revenue next week? 800, 1500.

Here's the incredible thing. I felt like we joined YC as the Bad News bears. We were a ragtag team. People didn't really want to fund us. We were trying to raise 150,000 at a \$1.5 million post money valuation. Nobody took that deal. We were desperately selling collectible cereal. We were living off credit cards. And I think we exited YC feeling kind of like winners successful. And we took off. We were doing a few thousand dollars at one point a week in revenue, which was a lot back then. It was like, okay, we actually have revenue, we have something. And you start somewhere. And then Sequoia came to a dinner. It was a partner from Sequoia. And the big problem with Airbnb was, and here's another lesson, a lot of reasons why investors didn't invest in Airbnb is because here's the thing that a lot of investors say, we invest in markets and we invest in large markets.

And the problem is when your name is airbed and breakfast, it doesn't sound like you're in a large market. What's the market for airbeds? Well, at one point we actually did research how many air beds are sold a year to figure out how big our market is. And the reason I like to tell people don't invest in markets, invest in entrepreneurs is that Garry entrepreneurs can find a very large market within their idea. And so air beds were small, sleeping in people's extra bedrooms was a medium-sized idea, but it turned out there was a really big idea, which was vacation rentals. And this partner Y Combinator came to me from Sequoia, Greg McAdoo, and I remember at this dinner, we could never describe how big our market was. And everyone's like, oh, there's no market. And then Greg McAdoo came up to me and he said, do you know the vacation rental industry is a 40 billion industry? And I'm like, he

Jessica : Had studied it

Brian: And wanted to invest in that space. He had studied, he was looking to invest in vacation rentals, and all of a sudden, even I barely heard that term, vacation rentals. Now, vacation rentals are kind of a common term. And again, in 2009, it wasn't popular. People stay in hotels and hostels and bed and breakfast, vacation rental was kind of a weird thing. It was offline. There were classified sites and

Jessica : Very offline,

Brian: Very off. But VRBO was a kind of classified site practically. There was no online payment system. And so he's like, this is a \$40 billion market. And I'm like, oh my God. And so suddenly Sequoia funds us. And I remember the incredible thing was Joe and I and Nate never had to have the meeting about whether or not we should keep working on Airbnb. It was a rocket

Carolynn : Ship. That's right.

Brian: It had taken off. And at that point, Y Combinator was truly the turning point. We entered it with no traction, feeling like beaten down, and we exited like a rocket ship with the seal of approval, YC, the seal of approval, which was big back then of Sequoia, a huge amount of momentum. And then that began the next chapter of my life.

Carolynn : When you were thinking about your market, did you guys just never think of a hotel replacement or the hotel market was never something you anchored off of?

Brian: We looked at how big the hotel market was in the hotel spending, but I think that today it's kind of intuitive that you could stay in an Airbnb or a hotel. I'm trying to think of a good analogy. Our original tagline was a cheap, affordable alternative to hotel. In other words, when we first started the site, I mean we had this idea that there was this community, but we mostly didn't think anyone understood it and they kind of initially didn't. And so we marketed this as, if you can't afford to stay in a hotel, you would stay in an Airbnb. And so we didn't position it as a replacement for hotel. We positioned it as for those people who couldn't afford to stay in hotel. So we looked more at bed and breakfast, although they're kind of expensive or hosts budget hotels. But it was not intuitive that anyone that would stay in a hotel would stay in Airbnb. So again, now it's like mainstream. It's been used almost 2 billion times. It almost sounded as crazy if I were to pitch you like, we're going to do this peer-to-peer surgery model where you can go to stranger's home, they can perform an operation on you.

However you feel when I tell you that idea, that's the reaction we got about this idea. Now, this idea is not crazy, but I used to joke to people, Elon's idea of going to Mars seemed more plausible than our idea of sleeping in people's homes. We can imagine living this way on Mars more easily than imagining living differently on this planet. We have these social mores and constructs. And this is also why I think as entrepreneurs, you have to go back to first principles. You think by first principle, not by analogy. If you actually look at the roots of the hospitality industry, it kind of started with homes. It got industrialized. But I remember talking to my grandfather about the idea before he died, and he used to say, this is how I used to travel when I was a kid. And I was like, what are you talking about?

But again, there were a lot of boarding homes and guest houses in things like that. I think that every technology platform shift, there's a new change of behavior. I think that you just need to act by first principles. It's crazy. No one will ever stay in each other's homes. Well, why wouldn't they? Oh, because we now live in a world where people are afraid of hitchhiking and they don't trust anyone and they don't like strangers. And so we just had the simple insight. Well, what if they weren't strangers? Oh, I would say, would you want a stranger to stay in your home? They say, no. Well, what if they were a PhD student from Stanford and they're studying whatever and their name is this, or she is doing this and she's doing, and they're like, oh, I'd host her. And so we kind of realized when you describe an abstract person, it's scary. When you describe a specific person, it's not scary at all.

And so that led to the insight that we just need to build a system of trust to take the strange out of the stranger. And it's just like these subtle things. I know that you and PG you guys talk about, founders have to have a unique insight to start their company that no one else has. And because we had no experience, it wasn't like we had studied aeronautics and we knew about rocketry. Our unique experience was we were naive 26 year olds, we didn't know any better. So we had no predisposition of what was weird and cool or uncool. And we had this crazy experience this one weekend, and we thought if people could experience it, will we experience that weekend and that this would be an idea that's spread around the world? And so we weren't really visionaries as much as we were kind of like expeditionaries.

We had discovered something, we discovered an experience. And if I was a little bit older, I might not have been open to doing it and I might've known better. And I don't think you have to be young to start a company, but you absolutely have to be young at heart. And I think that a lot of the challenges people have when they get older is they lose the ability to stem disbelief. But as long as you can remain curious, remain light on your feet, remain focused on first principles of like, well, why wouldn't somebody want to sleep in a home? They freaking live in homes? Of course, people like Holmes, they live in them.

Jessica : I think also Brian, if any other person who wasn't interested in bringing people together, which you inherently are interested in connecting people and that connection, they might not have seen the promise in the idea. And you and Joe

Brian: Could, this is another interesting idea just to contrast us with Uber, because when we started, us and Uber kind of rose up and we were practically interchangeable in the 2000 tens, like the gig economy, sharing economy, and the difference between us and Uber, and not to say one's better than the other, but when Uber started, the two founders were fairly wealthy, they were millionaires, and they started as riders. They wanted to get black cars. They couldn't get black cars themselves. So they basically created the equivalent of a timeshare black car where them and a hundred friends could have a critical mass of black cars. They could get on demand. It's important to remember that when I started, I did not have a particular passion for traveling more than anybody else. I had a passion for hosting, and Joe had a passion for hosting. And we like to host people and we like to show them around.

And paradoxically, I don't like traveling in the classical sense. I hate traveling. When I say traveling, I mean tourism. I'm actually anti like tourism. The whole ideology of Airbnb was you have to travel to get there, to have the experience, but we're not about tourism, which is doing things locals would never do. We're about community and connecting and we just happen to have to travel to do that. But I don't love the idea of traveling and being an outsider and taking photos in front of landmarks. I care less about that. We really were about hosting. And so I think our passion was about hosting people, bringing 'em to their homes and connecting. And so people say we're like a travel company. We're probably now the biggest or one of the biggest travel brands in the world. But to say we're a travel company, we're not Expedia, we're not booking.com, we're not Delta. We're a member of a travel community and much more of a local community company. And I think that comes from the founding ethos.

Jessica : I quickly want to talk about another pivotal moment before we get to c i d is just quickly when you realized that the host didn't have to be there and you could actually rent out an entire apartment. Oh my God, yeah, that was huge.

Brian: Yeah, no, there was this crazy thing, and I think this was during Y Combinator two, so just to go back, it started as air beds, AirBed and Breakfast, renting air beds. Then in 2008, Joe and I went to South by Southwest, which I think was March, 2008. And at the time, you could only rent air beds. You couldn't rent mattresses, only air beds. The name was "AirBed and Breakfast". And we thought it was cute and funny, and I met somebody in South by and he said, I love this. I want to rent out my extra bedroom. And I said, do you have an aired? And he goes, no. And I remember thinking to myself at first, well, you can buy an airbed and you can inflate it and you can put it on your bed. It seems crazy now, but you can get very stuck in an idea. Quite literally. It does

Jessica : Seems crazy. I had no idea, but I have

Brian: A mattress. So then we're like, wait a second. I guess we're called Arab bed and breakfast, but I guess you could rent out your extra bedroom so you could sleep on a real mattress. We will condone real mattresses, but you have to make breakfast because we're AirBed and Breakfast, so we're going to at least keep, the name will be at least half true. So then one day, somebody who was a drummer for Barry, I mean, and he wasn't the only one, but I noticed him. He wanted to rent his whole house. He would go on tour. And at first there was a huge debate inside the company, would we allow somebody to rent their whole home? How could that be possible? If you rent your whole home, you're not there to make them breakfast. So then first we started thinking, well, maybe you can rent your whole home, but you have to come back in the morning to make them breakfast each morning.

Jessica : Oh my gosh. Oh man.

Brian: Again, we're literal. And then we're like, wait a second. Maybe we let go of this idea that you have to be there with them. And that literally led to what most people know of Airbnb today, which is, okay, let's open up the platform. You rent an entire home or entire apartment. Now, there was only in urban areas, so that wasn't in vacation rentals at this point. So this is like an apartment in New York, an apartment in San Francisco, an apartment in Boston. And this seemed totally crazy to people. And once we launched that part of the business where you can rent an entire home, that's where the idea went from Airbed, which was a kitschy small, tiny thing that was probably not fundable to extra bedrooms, which was fundable, but probably not a billion dollar company to suddenly Airbnb. And pretty soon then people wanted to rent extra bedrooms, then apartments.

And then one day, I remember the story, this guy, he tells me the story of how he built his daughter a treehouse growing up. The girl grows up, moves out of the house, and he's got this treehouse in the backyard. He doesn't know what to do with it. The daughter says, why don't you put the treehouse on Airbnb? He puts a treehouse on Airbnb, and then suddenly the treehouse makes enough money to pay the mortgage on the actual house. The treehouse generates more income than the actual house. And so

people put up treehouses, they put up like somebody put up a castle, somebody put up a private island, there was an igloo. So at some point we're like, let's ride this. So we used to have a saying, you can rent anything from a couch to a castle and everything in between.

And we'd have this thing called the top 40 list, like a radio top 40 where you go down the homepage and you see the most unique Airbnbs. And the reason even today we put unique homes on Airbnb is we're constantly trying to expand people's imagination of what to do with the platform. You often want to follow the users. The users will take you places, but you also have to inspire them. You have to push them. It's a push and a pull. They put up a treehouse. You're like, wait a second, we can put more treehouses. And what about if we get a treehouse? What about tiny homes? What about igloos? And you push and then they see it and then they inspire. So it's this constant back and forth, and you're constantly basically trying to make your platform more extensible. So it starts with the airbed, then it's a bedroom, then it's an apartment, then it's a castle, then it's a treehouse.

Now it's all spaces. Then you're like, okay, what else can we do with it? And you just keep making it more and more extensible. And that's the reason why I think investors should invest in entrepreneurs, not markets like Apple, the most valuable company in the world started in a market that was tiny. The computer industry was nothing in the 1970s. And so a great company creates a market. And if by definition, if you're creating a market, it's nothing when you first invest in it, but it's part of a larger ecosystem, which is travel. And travel is a market the size of oil. So actually that's a big market. It's just that the category was tiny and non-existent within a large market. So it's not to say that entrepreneurs should go into small markets, but you have to think differently about the market. Yes, you can't defy human nature, but you have to think differently.

Jessica : I want to fast forward, Brian. I know there's so much interesting stuff that happened between YC and 2020, but I want to fast forward, I'm so fascinated personally to hear about what happened when the pandemic struck. You were making 35 billion in bookings a year, and you lost 80% of your business in eight weeks, you said on the last podcast. So I want to know what was going on, what happened?

Brian: I remember it was the holidays between 2019, 2020, and we went away for Christmas, the holidays, and I actually had where I'm sitting right now for the holidays, I got a stack of SS ones. SS ones are these, as you know, for people listening to documents that you have to file at the S E C when you're going to want to go public, and they're typically two, 300 pages long. It's a disclosure of every single thing that an investor, we, need to know about your company and to invest to go public. And I got a stack of 10 of them. And the reason why was because over the holidays, I was working on finishing our SS one to go public. And so I had Dropbox S one, Pinterest is SS one Spotify's, SS one squares ss. I was just looking at 'em for reference, and that's how I spent my holidays thinking that my life would go in one direction.

I came back in January and it was probably late January and we have a business in China, or we did, now it's just outbound, but we had a lot of homes in China, and we started noticing the business precipitously falling. And the business in China falls like 80% over

the course of February because of covid. But at this point, covid is this weird thing happening in China, and it's not even outside of China yet. This is mid-February or something like that. And it hadn't occurred to people. This would be a global pandemic. And I remember innocently saying, wow, if this thing spread outside of China, it's going to be really bad. And yeah, we were doing about 35 billion a year. To put that in perspective, Starbucks that year 2019 I think did like 25 billion in sales, and Nike did around 35 billion in sales. Now, that wasn't our revenue.

Our revenue was 15% of that, but that was the booking volumes. That's how much people were paying on Airbnb every year. So it was a business approximately Starbucks or Nike as far as customer sales and that vicinity. And to be that big, by the way, that's pretty crazy, right? A company where I'm writing personal checks for my backpack doing \$400 a week, and that same idea is now doing 35 billion a year. It's a giant operation. We're preparing to go public. And as you know, we were one of the probably two or three hottest companies of 2010's, like us and Uber, Instagram was already sold to Facebook, so it was a real success story. And then all of a sudden it was like we lost 80% of our business in eight weeks. And when you're our size and you lose 80% of your business in eight weeks, it's like a 18 wheeler going 80 miles an hour on a highway and slamming on the brakes.

Nothing good happens. And I remember it was March 15th, which I believe is the odds of March, and that was the day I think, or around that week, the world shut down. I remember symbolically, the N B A stopped their season, and that was kind like, I'll never forget that. You kind of got a sense that, okay, everything's going to stop. And so everything stopped. We started sheltering in place and we had an emergency board meeting. It was a Sunday, and before the board meeting, my lead independent board members named Ken Chenal, he calls me Kenchi, was a CEO of American Express for, I dunno, 17, 18 years. He was a CEO during nine 11 and 2008. Now if you're a CEO of a company like Amex during a nine 11 and they did a lot of travel or 2008, they're a financial services company.

Those are two big crises, right? Nine 11, 2008. And Ken calls me, he says, my intuition is this is going to be 10 times the size of nine 11 or 2008. Wow. And it was about 10 times as bad as either nine 11 or 2008 in travel. And those two crises were devastating to travel. And this was 10 times the size. Nothing had been this disrupted since World War II and in World War II companies weren't really that global back then. We didn't know what would happen. And you have to understand that there wasn't certainty that we would survive. People were using words like bankruptcy. Now, this is eight weeks after we're preparing for the I P O and I spent 10 years now convincing myself of how successful we are. I'm telling stories like this, which you only do when you're successful. I told the founding story a thousand times, thousands of times, which is basically like I'm successful.

Let me tell you how I got really successful and now I'm about to lose everything. And it was very harrowing, and Ken calls me and he says, this is your defining moment as a leader. And I remember this quote by Andy Grove, bad companies are destroyed by a crisis. Good companies survive a crisis, but great companies, they're defined by the crisis. And that rung in my head when Ken said, this is your defining moment. And I said,

this is not going to kill us. We're not going to go bankrupt. We were not killable in 2009. That's why you and PG funded us. We were cockroaches. Well, we're going to be cockroaches again. We are killable. And I realized the most important lesson in a crisis. This is surprising. Do you know what the hardest thing to manage in a crisis is? It's not intuitive. The hardest thing if you're a leader to manage in a crisis is your own psychology. It's not the people, it's not the market. It's not your money. It's your own psychology.

Jessica : I was going to say your employee's morale, but it's your own psychology.

Brian: You need to keep the employees hopeful in a crisis, what do people look to in a crisis? People don't look to data. No one looks at data in a crisis. It's happening too quickly. There's a fog of war. So in a crisis, we tend to look to a leader and we look at their face and if they're confident and they're optimistic and they say, here's where we're going and people want us to exist, and maybe we won't be as big as we used to, but here's why. Then that creates hope and optimism and not optimism. That's blinded by some delusion, but optimism that's rooted in some fundamental facts of why we deserve to exist and we're going to get through it. Then that creates the mentality that you need in a crisis because you need to be optimistic. You need to be resilient, you need to be creative.

It's super hard to be creative when you're pessimistic and you need to be creative because often you have two bad choices and you want to find the third path and you need to keep going. It's a ship and it's got a lot of water in it. There's a hole in it, and you got to bail the water out, plug the hole, and then steer the ship. And what you need people to do is to keep going, keep going. Don't stop. See, we went from this mantra that every week counts to every day, counts to every hour counts to every minute counts. A thousand of us got in a foxhole. I had intensity that I hadn't had since Y Combinator, that intensity of Y Combinator. I recreated Y Combinator with 5,000 people.

Jessica : How'd you do that? Tell us how you did that.

Brian: The first thing we did is I stepped up a communication. I was totally open and transparent. I told people that people were predicting that we're going to go out of business, and instead of hiding the fact, I embraced it, that I said, but we're not going to go out this way. And I basically told them like We're going to survive or we're going to die trying. I did weekly All Hands Q and Ass, which I was advised by some people not to do because it seemed like we were going to do a layoff. And people are like, well, why would you do all hands every week? You're going to get asked about layoffs. And I said, with the light mask, and I'll tell them what I really know. And so I decided to be totally open to take the employees on the journey of the crisis.

I remember watching Leaders in Crisis and the Best Leaders in Crisis are present and they're taking you on a journey every single day. And I said, I'm going to do that as well. And I was really supported by my co-founders, Joe and Nate. The next thing I did is we did a daily standup every morning and every night with my executive team, which we did. They're like every Sunday, I did a board meeting every single Sunday during Y Combinator and we stepped up communication. I called every board member every

week, every executive, every day. I was on the phone from probably 8:00 AM to 1:00 AM. It's like the following morning, right? Probably worked 18 hours a day, every single moment, every day. We had a bias for action. When we did this board meeting, the first thing I did is, okay, so how do you make decisions in a crisis?

The problem with crisis is people get paralyzed because they don't have data. And so you have to lean on something in a crisis. Well, what do you lean on? You have to lean on principles. In other words, in a crisis you make, I don't think business decisions as much as you make principle decisions because a business decision is like, here's the data, here's the data saying. And so based on this data, here's the decision we should make. You don't have that in a crisis. A crisis like the building is burning. And there's something incredibly clarifying about a crisis where all the distractions, a lot of founders do fake work like you do meetings and the meetings don't really matter. And they're like, you meet external people and you do internal things. There's something about crisis where suddenly only what matters becomes really clear. And I remember staring into the abyss and imagining us not existing, and the first thing I realized is I think the world would be deprived if we didn't exist because I like to ask entrepreneurs, why do you deserve to exist?

And the best answer I've ever heard is because if I don't do it, no one else will. And I felt like within travel, at least if we didn't do this, the rest of the industry was moving towards mass tourism and there really weren't a lot of people trying to build community anymore in the physical world. And that's why we exist. And the next thing I realized is, oh my God, a lot of what we do has nothing to do with that. We have a magazine division. We're doing transportation and flights, and we have a business travel division. And so then I said, we need to focus. And so if your house is burning and somebody says, you can only take a few things out of the house, what do you take? I had to do that. We had to do that. Okay,

Jessica : So you got your hands dirty into every single thing, every line item,

Brian: Right? I would do 10 hour zoom calls.

Jessica : Wow.

Brian: I would sometimes, oh yeah, I would do a meeting on Zoom and it was a one hour meeting and it would sometimes go as long as 10 hours, one meeting. Sometimes I'd have to go to the bathroom, I'd hold it for hours. Yeah,

Jessica : That

Brian: Sounds cool. Which I don't advise

Jessica : Doing. Oh, Brian

Brian: Like crazy, like crazy. And we would, but remember, if somebody told you that you're going to lose everything, that's the context. And everyone's fearful. Investors are

freaking out. Not everyone, but a lot of investors are freaking out. They're going to lose all their money. Employees are afraid they're going to lose their jobs. Hosts are freaking out that they're not going to get paid. Guests want refunds. And so every stakeholder is kind of freaking out at the same time. And suddenly in a crisis, you feel your responsibility. You've never felt before. It's not like I had more responsibility, it's just that when everyone is depending on you, you suddenly feel it. And the thing about that is that was a growing up experience for me. I felt, in honest, in hindsight, I was pretty mature before the crisis, and I felt like now I'm like 41 going on 61 because that crisis really made us grow up.

And I decided, why come? What kind of leader do we want to be? What kind of company do you want to be? And the first thing I said is I'm going to embrace getting back into the details because I was really removed from everything. So I sat with our CFO and we would go through thousands of light items of expenses. I went through thousands of employees by name. When we ended up doing a layoff, we didn't do a systematic layoff. I reviewed all, I think it was 7,000 employees. Wow. One by one. Oh my god. And I said, if you get laid off, I knew who you were and I made that decision. I know that can sound heartless, but I think it's more heartless to be separated from your decision. I'm going to get emotionally invested and I'm going to make my best decision and I'm going to live with that decision, but I'm not going to get emotionally detached from this.

I'm going to be totally focused. We shuttered 80% of our products. We ended up turning over half our executive team, half my exec team left, and we brought in obviously new people, and we removed our salaries. We refunded a billion dollars of customer deposits, though people couldn't get refunds. We overwrote cancellation policies, then hosts were pissed off at us. So we took \$250 million off our bank and our bank, and we sent it to hosts when we're burning money. Then we raised \$2 billion of emergency debt financing. A lot of people were recommending either we sell the company or we not a lot of people, but some people recommend you either sell the company or we raise emergency financing equity at 10 billion or 15 billion, but that would've had extremely onerous terms in it. Basically equivalent to a really big down round, which is extremely dilutive to the existing shareholders.

It's a recapitalization of the company. And so we took this really big gamble to do debt, which you're usually advised not to do unless you're really bullish about the future. And I said, I'm so bullish. This is temporary that we're going to do debt, which saved a huge amount of dilution in the company. We've got Silver Lake to do it. They got warned. They ended up doing really well at Silver Lake and Sixth Street Partners. And then we obviously had to do a layoff, a layoff's, really hard to do. I remember a CEO once telling me the hardest thing you'll ever have to do as a CEO is a layoff. And everyone has to do it at least once. For a company like ours, though, our mission was belonging. You belong and now you're doing a layoff. And so that was very, very difficult for me and for us, but we had to do it.

And we tried to do it with compassion. We tried to do it uniquely. I wrote this letter that was just maybe uncharacteristically open. I always in a crisis say, do more than is expected of you. I think a lot of times in a crisis, people do half measures or they do

what people expect. A crisis is the one moment you have permission, it's your one time to be bold. A crisis is your defining moment. And if you just imagine, what do people expect of me? Okay, I'm going to do more than that, the world's paying attention. You have that opportunity. And that's always been my guiding principle. And then I wrote out a bunch of principles like act fast, preserve cash Act with all stakeholders in mind. Don't be villains. Win the next travel season guide. Everyone rallied around these principles. And then the reason, the way I keep employee morale high is every week you're reselling the vision of the company.

Whatever you sold for people to join, now you're reselling that vision, you're reselling that dream and you're embracing the pain. You're reminding people of people through history or companies through history. I'd retell the story of Apple. There were 90 days from bankruptcy. And I said, it's up to us. If you've ever wanted a chance to affect the outcome of this company, this is your chance. Have you ever felt like you joined Airbnb too late after the glory days and after the founding? I want you to know that you're back at the founding of the company. This is like a refounding. This is our chance. Wow, powerful. And if this company survives, it's going to be because we built it together. And if we go down, we go down together. And you imagine now what you feel, you feel like, well, I have ownership. We're going to do this.

Chills, goosebumps. And people started working day and night. We restructured the company. We got back to basics. We got back to the founding ideals of everyday people hosting. We shuttered most of the divisions. We're now a really focused company. Now we restructure how we run the company. So let me tell you the next chapter. Most startups start and they're functional. And what I mean by that is you're an engineer. And so you write software. You're a designer, you design the software. You're a finance person. You are essentially responsible for the money. You're a lawyer responsible for protecting the company legally, making sure you have reasonable contracts and things like that. And so you're a functional organization. And what happens to most companies is they want to move fast. And so eventually they realize a lot of decision-making is becoming a bottleneck at the top of the company.

And so to move fast, they divisionalized the company and literally divisionalized the company is exactly what it sounds like. You divide it and then you subdivide it and you subdivide it and you decentralize decision-making. And in software, and this is a big thing, I would just say to people listening, that sounds like a great idea. When you're small, things that you do to move fast when you're small, usually slow you down later. And I'll give you the example. If you subdivide the company in 10 divisions like we do, we had a China division, we had a homes division, we had a prohost division, we had an experience division, we had a lux division, we had a Air mead.org division, we had a transportation division, we had a magazine division. I could go on and on and on. And then they subdivided. And we had this culture where everyone could do anything.

People could own their own projects. People pick the teams they worked on, which is like a Google thing. And you democratize data and you basically share the values of the company. You democratize data. You hire smart people and assume that they'll make the right distance for the company, and you want to get out of their way, and you want to empower people and hire great people and trust them to do their job. It turns out, in my

opinion, that is all wrong, that it sounds great. And it's right. For some people it was wrong for us. And actually people want constraints. They want to row in the same direction. And so we did, and I studied Apple and Steve Jobs came back to Apple and he shuttered most of the divisions. And he went from a divisional structure to a functional structure. So I said, we're going to go back to being a startup.

We're going to have a marketing department and an operations department, engineering department, a design department, and then everyone's going to work on everything together. There are no longer swim lanes. There's one roadmap, and no one ships anything unless it's on the roadmap. And then I'm going to review every single thing in the company before it ships, and I'll have these things I call co-reviews. And I review everything every week, every two weeks, every four weeks or every quarter. And if I don't review it, it doesn't ship and nothing happens without me seeing it. And I'm not there to micromanage as much as I'm there as an orchestra conductor to make sure that it plays one cohesive sound and we're going to totally be in lockstep. And what we created was this shared consciousness. And I've never seen people do this that often. I know Apple did it.

I know Disney did it in the fifties and sixties. Instead of giving people different swimlanes and different priorities, these top 30 people work on everything together. We're not doing anything more than we can personally focus on. So if I can't personally focus on it, we won't do it. And that means that instead of pushing decision making down, I pull it in and the shared consciousness of 30 top people in the company becomes concentric circles. And then the next 300 people develop a shared consciousness. The next 3000 people create a shared consciousness, and it's like a solar system rather than a pyramid and that was the way we rolled the company. I also embraced getting in the details. I lost the sense of the details. I would spend 10 hours in a Zoom going into the finest details. When we did the SS one, I personally wrote 14,000 words.

The S one myself, at some point somebody made the joke, if I keep editing the S one, I'm going to turn it into Catcher in the Rye, that it was going to be like a required reading in high school. At some point. It was about embracing the details that I only hired experts, that no one was just a manager. That if you're an engineering manager, you have to code. And if you can't code, it's like being a cavalry general and you can't ride a horse. And so if I am in a meeting with you and you don't have the answer, you need to ask somebody in the meeting, then your scope's probably too wide. And so I created these verticals and basically I guess what I'm getting at is I basically ran it like a hardware startup. I ran a giant software company, like a hardware startup in one sentence or the marriage between hardware and software.

Because in hardware, you can't just ship anything all the time. You have to be thoughtful. You have to know what you're building, you have to make sure you build the right thing. You have to invest in tooling, you have to manufacture it, and then if you make it, you have to market it because if you don't market it, it's going to be on a shelf and no one's going to buy it. And actually, it turns out this discipline is great for software because why is it? Then we look at apps and we feel like I want to move fast. I know, okay, you want to move fast. Well how come? Open your home screen, look at all the apps in your home

screen and ask how much they changed in the last year. The answer is hardly any of them have changed not to pick any one Pacific.

Why is that? Because the processes people use to develop software to move fast eventually become the reason they're slow. And then eventually people do a thousand things and a thousand directions. And then what happens is there's no accountability because no one knows what anyone's doing. So people sometimes become complacent. There tends to be bureaucracy because there's chaos and everyone's hitting certain teams and they feel like a deli with a line around the block, like infrastructure teams or whomever. And then there's politics because you have to advocate because the way to get ahead is to get headcount and get resources. And so you have your own fiefdom, know the fiefdom, the people with the biggest. And so we killed all of that by being totally integrated, being totally into details, having this rhythm, so the moral and you emerge stronger, you emerged as a stronger part of the company.

The moral of the story is in the beginning of the pandemic. This is a great parallel to YC. At the beginning of YC, we said, we are the bad-news-bears people said. I remember before YC, I tried to get an investor to invest in the company and he said, why would I invest in Airbnb? This is 2008. The economy is so bad. Even good companies I wouldn't invest in. Why would I invest in Airbnb and breakfast? He's actually, and when we exited YC, we were voted the best company in YC, as you remember. They did that voting. We were voted among our peers, funded by Sequoia. We never looked back at the beginning of the crisis. People are writing, is this the end of Airbnb? Will Airbnb exist? People were using words like bankruptcy. We exited the pandemic to long story short, before the pandemic, we were basically losing money.

We're losing 250 million a year, which at our size wasn't bad, but we were basically just below break. Even if you include stock-based compensation, we're definitely losing a bunch of money. And last year we did 3.8 billion in free cash flow. So you have unicorns by market cap, a billion dollar market cap, and then you got unicorns by revenue, a billion dollars revenue. We were a unicorn by profit four times over and we now generate more profit for every dollar we earn than Google or Apple. Impressive 44 cents for every dollar we earn goes to free cash flow. And so this is the crazy thing. I never was trying to become profitable. I was just trying to become incredibly efficient. I felt like the analogy is like we were the startup equivalent of the Navy Seals, not the Navy, that no one wanted to work in the Navy. We wanted to be the special forces.

So we embraced having as few as possible. We kept the headcount flat for years. Basically, if you don't equate a call center in India, we still have 5,500 employees doing probably three quarters of a million dollars for cash worker per employee. And it's not because we're trying to be profitable, we're trying to make it a fun environment to work at. We're trying to move fast. And one of the best ways to slow a team down is to add a person to it because they bring a communication layer, they bring a text to it. And so all this stuff was counterintuitive. It was, we've never looked back just like Y Combinator. If Y Combinator was our first defining moment that left indelible marks for the next 10 years, but then what happened after Y Combinator, we raised too much money and most startups raised way too much money.

We hired too many people, we did too many things. We slowed down our pace and the pandemic brought us back to Y Combinator, but this time with thousands of people. And we said, we're going to be the world's biggest startup, but we're going to stay a startup. And I don't think we ever looked back since. And my job now is not to have to wait for another crisis 10 years from now to remember those indelible marks and to make sure that we continue to have hunger, that we remember that every minute of every single day counts that we're in the details, that we're obsessing over what we're making, that we're one like orchestra playing, one sound. We're not going in a thousand different directions. And that is now the culture of the company.

Carolynn : Amazing.

Jessica : Wow. I think you've successfully silenced Carolynn

Carolynn : And I because

Jessica : My mind's blown. I don't know about uc levy, but I'm like, oh,

Carolynn : Wow. You know what? I was just thinking Brian, Jessica got a request the other day for a transcript. I don't even remember who it was. And I was just thinking to myself as you were talking, I'd actually really appreciate a transcript. I want to stare longer and think more about all the stuff you just said because it is really,

Jessica : I know it's profound

Carolynn : And it resonates on a lot of different levels in a lot of different ways.

Brian: I think the principles are simple, right? They're simple but not obvious. And I like to say it's kind of like it was obvious everyone would do it and it's not obvious. So there's all this, I think one of the brilliant things about Y Combinator is you and you guys and pg, one of the great gifts PG had is you had all these essays. And these essays were really in some ways counterintuitive, do things that don't scale, make something people want. And when you say them, they kind of seem obvious, but they're not totally obvious. If they were, the essays wouldn't be so viral. And I think there isn't a Paul Graham for later stage. There's a lot of books, but there's not really all this wisdom. And so what ends up happening is we all make the same mistakes. We make mistakes like we hire people and we abdicate responsibility to them, and we think our employees are our customers and we try to negotiate with our own employees about how to run the company.

And what ends up happening is if you're a founder like me, you've been doing this for 15 years. All the people that you're trying to appease will eventually, most of 'em will eventually leave you not to be dark, but ultimately you run the company a certain way to appease people that will then not even be there in the future. And you're like, but I'm the one stuck doing this the rest of my life. And so ultimately you have to not apologize for how you want to run the company. You have to go back to first principles. And I think that if I asked people what they wanted, they would've said, be less involved. Let us go in more different directions, give us more headcount, give us more money. And so what I

did is the opposite of every one of those things. And the result for the people who stayed, now maybe there's survivor bias, but they were probably happier because ultimately they just wanted to move fast.

And now everything we green light, we ship because we only commit to things we can do. And so I just think there's a lot of these lessons where people raise too much money, they hire too many people, they go in too many directions, they have too many projects, they defer too much to their team. I'm not saying be a tyrant, but I'm just saying leadership is presence, not absence. And I think so many leaders are absent because they think that's what people want because they call that quote empowerment. And I put the word empowerment in quotes because if you empower people by leaving them to their own devices, which sounds great when you're an entrepreneur and a large organization, what you're really doing is letting them manage their bureaucracy and the politics. And that's like Game of Thrones. That's actually not fun. And that's why do people say big companies are so dreadful?

It's not because of the presence of leadership. It's often the absence of leadership. And that's the paradox. People think leadership is a problem and we need less of it. And actually the answer is we need more of it because the vacuum gets filled with all these things that we call bureaucracy, politics, and complacency. And I think ultimately the most important job of the leader is to lead by example. And so when I was working day and night, other people work day and night. I don't ask people to work days and I just model behavior. I don't ask people to be in details. I just model behavior and I never ask somebody to do something I would try not to do myself. And we all model that behavior and it becomes a cascade of concentric circles of change.

Jessica : I am so impressed with you and what you did and the whole pandemic story. I didn't know all those details. I mean, I knew that you had come in taken charge of the situation and gone through all the line items, but I did not know the level to which you

Brian: Did. And I just want to add one last part of the story. Just one thing is because I said the word / a lot and I should have just said, it was really, we, I would've never done this without the team. I stood on the shoulders of the team starting with Joe and Nate. They had my back. We were in it together. They gave me permission to bold. The board was really amazing and the employees rallied and almost no one resigned during the pandemic. Isn't that crazy? People thought we were going out of business, recruiters were pinging our company to poach people. And I don't recall one person of significance who resigned during the pandemic. They stuck with us. It was counterintuitive, and I just want to thank everyone that was a part of it because without their help, I wouldn't be telling you this story. I'd be telling you about a story of a company that I used to have, and I think it's an incredible journey. It is actually, I think the pandemic was an even crazier story than the founding Jessica and Caroline. I never thought I'd have a story crazier than Y Combinator.

And actually this was crazier because you got to remember doing YC, as crazy as it sounds, we had nothing to lose because we didn't think it would be big. Now you have everything to lose, and that is emotionally intense, and yet it wasn't a terrifying period. For me, that crisis makes me so present. And I know crisis can seem paralyzing, but if

you ever go through it, if people are listening, ever go through it. Mostly what's going to happen is things are going to slow down. Initially it will seem like a fog, and if you just slow down and breathe, you're going to start to see things really clearly and you just trust your intuition and there's a way out. And as long as you don't quit, you don't die.

Carolynn : I have a quick question. When you became a public company, CEO, because this was post-crisis, I'm guessing, tell me if I'm wrong, that that transition was probably much easier for you than it might have been otherwise.

Brian: Yeah. Being a public company, CEO was the least dramatic thing in my life because I like to joke that if you think being a public com, CEO is hard, try running a travel company in a pandemic. Exactly.

Carolynn : Yeah.

Brian: Try going public in a pandemic, try going public where we have to rewrite your S one because the document you wrote is not even the business you have anymore. You're not even in that business. And I'll say one other thing. If somebody is running a late stage company and they aren't public, my experience is, it's easier to run a public company than a late stage private company. I was at a Sequoia retreat with 200 founders last Friday, and they asked me a question because a lot of founders are deferring going public, and I'm not saying it's awesome to go public. It was harder for me to be a late stage private company. You have all the downsides of being public. My financials leaked and all this and that, but yet there's this perennial sense that you're hiding something and there's this insatiable need for more information.

And I think being a public company, it's actually shockingly less dramatic than I thought. The stock price goes up and down every minute of every day, but therefore you just live with it. And it's like you don't think about it if you're worried about your employees focusing every day on the stock price. There's an old saying, you can't get people to stop a habit. You can only get 'em to replace a habit. And so instead of saying, don't look at the stock price, I have to give you something to look at. And so we do these product releases. This is the last thing I left out twice a year. We do giant product releases like a hardware company, which sounds totally counterintuitive versus software company, but again, it's a way to keep the whole company rowing in one direction. And that's the thing that people focus on, I hope, just as much as the stock price. And it's just like a discipline. And I mean I gravitate to pressure. Not everyone does, but I think if you get to our stage, you'll probably thrive in a high pressure environment, so most people listening, you'll be fine in pressure. I think initially it's a little scary, but if you just slow down and breathe, you get adrenaline, and that adrenaline gives you courage.

Jessica : Well, I'm glad you had the courage. You certainly rose to the occasion as a leader and made Airbnb emerge as a stronger company. The bottom line is, Covid almost showed how robust Airbnb is. It's something that the world needs.

Brian: Well, the last thing I'll just say again is I didn't think I would like running a public company. If you asked me at Y Combinator when I'm 41, am I still running Airbnb? I'm

not sure. I would've predicted I would. If you told me, would it be fun running a public company with thousands of people? I would've been totally afraid of this big corporate entity. And what I would say now is I have more energy when I wake up today, and I enjoy the job today more than I did when I was in YC, and it's because I've got this incredible canvas now with my team. I get to surround myself with people that I've chosen to work with and we work together and we just get to make stuff all day now, and we're on the other side of all that corporate bs, that horrible shit that you have to deal with when you're a big company.

If you embrace it rather than avoid it and just get in the mud, there's another side of it. You get to the other side and it's like pushing a rock up a hill. Then you get to the top and then one day everything just starts flowing, and that's what it feels like from a product perspective. I'd feel very lucky. And one of the lessons is just don't stop, just keep going. Albert Einstein had a saying, the best way to keep your balance on a bicycle is to keep moving. And I think that right now I'd notice some entrepreneurs have an instinct to freeze, just stop to worry. But the best way to keep, I think your balance is to keep going, and the faster you go, the more balance you have, and I think that's not totally intuitive, but I think that's the best advice I'd have to people.

Jessica : Awesome. That's a great place to end. I know you have to get on with your day. That was amazing. I can't believe all those details.

Carolynn : I just think it's so interesting, like you said, counterintuitive lessons and advice that just seemed to go against the mainstream, but obviously really powerful for you.

Brian: I enjoy this. I love talking to you guys, and there's something about the YC energy that brings me back to a special place, and I do think that YC really helped me during the pandemic. I think, again, we learned process instincts back then. You don't lose those.

Jessica : Yeah. I'm glad that you reverted back to the focus in simpler times of YC. That's so cool to hear.

Brian: Apply the YC process to a giant public company,

Jessica : A new application for YC. There you go. Awesome. Well, Brian, thank you. I hope I get to see you sometime soon.

Brian: I'm going to be in Europe this summer. I know I have this goal to visit you, but when you are back here, I'd love to see you guys.

Jessica : Okay. It's so nice to see your face. See, you look great.

Brian: Oh, thank

Jessica : You. And you look healthy and all of that, and I'm so happy to

Brian: Talk to you. It hasn't killed me yet. It hasn't killed me yet.

Jessica : Alright, Brian, thank you for

Carolynn : Everything. Thank you, Brian. Bye. See you

Jessica : Soon. See you later. Bye bye. Wow, Carolynn. Yeah.

Carolynn : Wow. That was similarly intense as part one when he was talking.

Jessica : I was literally dumbstruck almost through the whole covid thing. That was insane.

Carolynn : Yeah. Yeah. I do remember a lot of the press at the time, I was thinking to myself when he was talking about the layoffs thing. I felt like so many CEOs that did these public layoffs just got trashed in the press. It was like there was no right way to do that, and so you damned if you did, damned if you didn't. You couldn't win. It was a layoff, and so no matter how gracefully or thoughtfully you handled it, the press was going to trash you.

Jessica : But I mean he went through every single person at the company. He went through every line item and cut things just left and was exhausting to

Carolynn : Stay focused. Just the thought of that. It's amazing to have the energy, but then you think, well, the reason that he had the energy is because he cared that much. That's pretty powerful.

Jessica : That is a next level sort of determination and perseverance, and he's always been like that. He's always been, I mean in the face of a lot of adversity, he's always emerged stronger and he sorts it out and figures it out, but man, that is like next level.

Carolynn : Yeah, that's one of probably the most intense pandemic stories. I think we will be able to dig up. Maybe we'll be surprised, but

Jessica : Maybe all I could think of when he was talking about the occasion in a crisis, all I could think of is that I often tell people, I am not the person you want. If there is a crisis,

Carolynn : It's

Jessica : So embarrassing. I feel like such a huge loser, but I panicked. I don't think calmly, I don't sort through things on a reasonable,

Carolynn : Okay. It's okay to know your limitations.

Jessica : I know it is a major

Carolynn : Limitation. This is not related to the pandemic story at all, but I'm still laughing at *take the strange out of stranger*. That's a great expression. I'm not sure I ever heard, I'm sure he said that before, but I love that. Take the strange out of strangers.

Jessica : Well, actually, I was struck by something he said right before that, which was, oh, how do you feel about having a stranger in your house? No, no, would never do that. Okay. How do you feel like having a Stanford PhD in French literature? Oh, okay. I'm interested in that. That would be fine. I think that's

Carolynn : Literally taking the stranger out, right? Suddenly it's you humanize the person, and so yeah, they're not strange anymore. They actually are. They have characteristics and attributes and all

Jessica : That, and it all boils down to that weekend. I think when Brian and Joe hosted those people and they had such great connections and such great experiences, and Brian and Joe were able to make some cash to pay their rent, and these three strangers to San Francisco who were designers came in and had that wonderful sort of authentic experience of understanding the city and getting to know the hosts, and they knew, they felt so strongly that there was something to this, that it forced them to ask questions and get past the original barrier of everyone saying, no way. I wouldn't stay at someone's house or I wouldn't host someone in my house.

Carolynn : Yeah. I think there's just this, just this powerful connection between what your origin story is and scratching your own itch or being super passionate about that topic and then building something successful. It was kind of an obvious thing to say, but that's I think why things fail is maybe when you don't have those connections to fall back on. I mean, things fail for a lot of reasons,

Jessica : And you give up. How many times could they have given up 500 times in the past, whatever years,

Carolynn : Whatever.

Jessica : Oh man. He is just an inspiration. Totally. I have to say, Brian is just an inspiration, and I think a lot of people can learn from him in the whole Airbnb story, so I thought it was awesome. No,

Carolynn : That's great. I'm glad. It was awesome. I'm really glad he came back for part two. That was really great. It definitely was a cliffhanger last time, so that was great.

Jessica : Yeah. Awesome. Well, wow. Yeah. I'm still recovering from how intense that was. It was so interesting, but can't wait to see how this is when it comes out and we'll talk again soon,

Carolynn : I'm sure. Okay. See you.